

FRE VENDING

FRE

A New Channel for Distribution, Data & Brand

Strategic Business Plan | March 2026

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CONFIDENTIAL — Turning Point Brands, Inc.

Executive Summary

The thesis: Every FRE vending machine is a billboard that pays you back.

The Opportunity

- 300K+ eligible 21+ venues in the US
- Zero major nicotine brands in vending
- Captive audience at peak nicotine demand
- Three revenue layers: product + ads + data

The Ask

- Deploy 4 machines we already own
- First machine in CAA (Los Angeles) this week
- 90-day pilot to prove unit economics
- Build playbook for scale to 20+ machines

Why Now

- Window is open — Big Tobacco won't move
- Synthetic nicotine = \$0 excise tax in 35+ states
- Age-verification tech is now mature & cheap
- FRE has machines in hand — execution, not planning

The Market Opportunity

75,500 eligible 21+ venues in the US — and zero nicotine brands competing for them

Venue Segment	US Count	FRE-Eligible
Bars & nightclubs	~60,000	~45,000
Sports bars	~20,000	~15,000
Hotel bars / rooftops	~8,000	~6,000
Private clubs / lounges	~5,000	~4,000
Pool halls	~3,500	~2,500
Music venues	~3,000	~2,000
Casinos	~1,000	~1,000
TOTAL ELIGIBLE		~75,500

The Unmet Need

Nicotine consumers in 21+ venues have no on-premise purchase option. They left their pouch at home. It's midnight. The c-store is 3 blocks away.
This isn't replacing retail — it's capturing unserved demand.

Scale Scenarios

1% penetration	755 machines	\$2.1M annual net
5% penetration	3,775 machines	\$10.3M annual net
10% penetration	7,550 machines	\$20.6M annual net

Competitive Landscape

● ZYN / PMI	No vending activity
● VELO / BAT	No vending activity
● On! / Altria	No vending activity
● Sesh / Lucy	Possible future entrants

What We Have Today

4 machines purchased, configured with VapeTM + Nayax IoT + age verification

4

Machines In Hand
VapeTM Slim Wall units

\$17,188

CAPEX Invested
Marginal deploy cost: ~\$750/ea

\$750

Marginal Deploy
Scanner + wrap + install + inventory

35+

States at \$0 Tax
Synthetic nicotine excise advantage

Per-Machine Cost Structure

Component	Per Unit	x4
VapeTM Slim Wall Machine	\$3,500	\$14,000
Age Verification Scanner	\$350	\$1,400
Custom FRE Brand Wrap	\$250	\$1,000
Installation & Setup	\$150	\$600
Initial Inventory (30 cans)	\$47	\$188
TOTAL CAPEX	\$4,297	\$17,188

Technology Stack

- **VapeTM Platform**
Machine mgmt, SKU/pricing, remote admin
- **Nayax IoT**
Real-time sales, inventory, connectivity
- **Nayax Payments**
NFC, chip, Apple/Google Pay, swipe
- **ID Scanner**
Barcode scan, DOB verify, <10 sec
- **4G + WiFi**
Always-on, alerts if offline >30 min

Monthly OpEx (Per Machine)

Item	Monthly	Annual
VapeTM Software	\$29.00	\$348
Nayax Connectivity	\$7.95	\$95
Maintenance	\$15.00	\$180
Insurance	\$12.00	\$144

Unit Economics

FRE-only machines — brand purity over short-term velocity subsidy

Scenario	Venue	Cans/Wk	Net/Mo	Payback
Conservative	Bar / Pool Hall	5	\$80	54 mo
Moderate	Nightclub	10	\$183	23 mo
Strong	Nightclub/Casino	15	\$307	14 mo
Premium	Casino	20	\$390	11 mo

Velocity floor: 8+ cans/week to be cash-flow positive.

1x FRE Standard Can

Price: \$7.49
COGS: \$1.58
Gross Profit: \$5.91
Margin: 79%

Mega Pack = 3.25x more gross profit per transaction

1x FRE Mega Pack (100ct)

Price: \$34.99
COGS: \$15.80
Gross Profit: \$19.19
Margin: 55%

FRE-Only SKU Configuration (6 Slots)

Slot	SKU	Nightclub Price	Role
1	FRE Mint 6mg	\$7.49	Entry strength — trial/first-time
2	FRE Mint 15mg	\$7.49	Core volume driver
3	FRE Wintergreen 15mg	\$7.49	Core volume driver
4	FRE Mega Pack (100ct)	\$34.99	Hero SKU — 4x transaction value
5	FRE Sweet / Smooth	\$7.49	Flavor variety
6	FRE LABS [Rotating LTO]	\$7.49	Consumer testing — real-time feedback

Deployment Plan — Where & How

4 machines, 3 venue types, 1 market — buying data, not just placing machines

Machine #1 CAA	Machine #2 Flagship Nightclub	Machine #3 Pool Hall	Machine #4 HOLD
Location: Los Angeles Objective: Brand moment. PR catalyst. Provocative first placement. SKUs: FRE-only, nightclub pricing Venue Share: 15-20% THIS WEEK	Location: Nashville Objective: Highest velocity test. Peak nightlife demand. SKUs: FRE-only, \$7.49 / \$34.99 Mega Venue Share: 15-20% Q2 2026	Location: Nashville Objective: FRE-only viability in high-dwell, lower-traffic. SKUs: FRE-only, \$6.99 / \$29.99 Mega Venue Share: 20-25% Q2 2026	Location: TBD Objective: Deploy based on 90-day data from Machines 1-3. SKUs: Decision: 2nd nightclub, casino, or new market Venue Share: TBD Q3 2026

Why LA + Nashville?

CAA in LA = PR firepower. Nashville = \$0 excise, clear regulation, 3 venue types to test. Two markets, clean data.

Revenue Model — Three Layers

Product margin today. Advertising and data monetization at scale.

ACTIVE NOW

Layer 1: Product Margin

- FRE Standard: \$5.91 gross per can (79%)
- FRE Mega Pack: \$19.19 gross per unit (55%)
- Nightclub moderate: ~\$339/mo gross
- Net after venue share + OpEx: ~\$137/mo
- Direct-to-consumer = no distributor cut
- TPBMarketplace bypasses 18% margin erosion

AT 50+ MACHINES

Layer 2: Advertising

- Touchscreen ads during browse/verify/post-purchase
- Captive 21+ audience — premium CPM (\$15+)
- ~\$90/month per machine at scale
- Nearly pure margin — zero COGS
- Digital OOH platforms (Vistar, Broadsign)
- Cross-promote FRE LABS flavors for free

BUILDING FROM DAY 1

Layer 3: Data

- Nayax IoT: SKU, time, venue type, price
- Real-time revealed preferences (not surveys)
- Flavor launch testing via Slot 6 rotation
- Haypp/FREIA integration at 90 days
- Venue-type purchase behavior (unique data)
- Licensable dataset at scale (future)

Steady-State Revenue Per Machine (Nightclub Moderate):

\$137 product + \$90 ads + data = ~\$227+/month | ~\$2,724+/year

Go-to-Market — Next 90 Days

Concrete actions, week by week

WEEK 1	WEEKS 2-4	WEEKS 5-6	WEEK 10	WEEK 18
Machine #1 — CAA (LA) • Set up VapeTM software + Nayax configuration • Test age verification, payment, vend cycle end-to-end • Load initial FRE inventory (30 cans + Mega Packs) • Install in CAA (Los Angeles) • Begin collecting Nayax telemetry from day 1	Venue Pipeline + Machines #2-3 • Identify + pitch Nashville flagship nightclub • Identify + pitch Nashville pool hall • Sign 90-day pilot agreements (zero cost to venue) • Order custom FRE brand wraps (3 machines) • Configure remaining 2 machines (Nayax + ID scanners)	Deploy Machines #2-3 • Install Machine #2 (nightclub) — go live • Install Machine #3 (pool hall) — go live • Confirm all telemetry reporting correctly • Document restock SOPs for venue staff • First TPBMarketplace restock order test	30-Day Review • Pull Nayax data — velocity vs. model projections • Venue share renegotiation if underperforming • Test pricing adjustments if warranted • Assess TPBMarketplace replenishment reliability • Machine #4 placement shortlist	90-Day Full Review + Decision • Full P&L per machine (actual vs. model) • Machine #4 deploy decision (where + when) • Go/no-go for Phase 2 (sell+subscribe) • PR push with real velocity data • Haypp data partnership pitch prep

The Venue Pitch (30 seconds)

"We place a FRE vending machine in your venue. Zero cost. You get 20% of every sale. We handle everything — machine, product, compliance, maintenance. 90-day pilot. If it doesn't work, we pull it. Zero downside."

How We Know If It Works

Clear KPIs, automated telemetry, and kill criteria at every milestone

Data source: Nayax IoT telemetry — real-time, automated, no manual counting. Every vend is logged.

Phase 1 KPIs (90-Day Pilot)

Metric	Target	How Measured	Review At
FRE velocity (cans/week/machine)	>= 10	Nayax telemetry	30 / 60 / 90 days
Mega Pack % of transactions	>= 12%	Nayax SKU data	30 / 60 / 90 days
Machine uptime	>= 95%	Nayax connectivity logs	Continuous
Venue satisfaction	No pull requests	Venue check-in	30 / 90 days
Restock success (TPBMarketplace)	100% on-time	Order fulfillment tracking	Every restock
Net profit per machine/month	>= \$100	Financial reconciliation	Monthly

Decision Framework — Per Machine

KEEP + OPTIMIZE

10+ FRE cans/week

- Continue operating
- Optimize SKU mix from data
- Test Mega Pack promotions
- This venue type is validated

WATCH + ADJUST

5-10 FRE cans/week

- Renegotiate venue share
- Adjust pricing
- Test different SKU config
- 30-day extension before pull

PULL + REDEPLOY

<5 FRE cans/week (60+ days)

- Wrong venue — not the model
- Redeploy to higher-traffic site
- Document learnings
- Do not throw good money after bad

After the First 4 — The Scaling Model

Company-operated proves it. Sell + Subscribe scales it. Platform monetizes it.

PHASE 1: PROVE

Q2-Q3 2026 | Machines 1-4

Company-Operated

- TPB owns + operates all machines
- Nashville single-market focus
- Full brand control, full data ownership
- TPBMarketplace direct ship restock
- Prove: velocity, unit economics, restock
- Net: ~\$137/machine/month

PHASE 2: SCALE

Q4 2026 - 2027 | Machines 5-20

Sell Machine + Subscribe

- Sell machines to operators (\$4,997-\$5,497)
- Required FRE product subscription
- Nespresso model: hardware + consumable lock-in
- Nayax data stays with TPB
- Expand: Nashville + Miami + Austin
- TPB Year 1/machine: \$1,276 (sale + margin)

PHASE 3: PLATFORM

2027-2028 | Machines 20-100+

Sell + Subscribe + Advertising

- Add advertising revenue layer (\$90/mo/machine)
- FRE Vending Partner Program (tiered benefits)
- Bar distributor for restock logistics
- National expansion: TN, FL, NV, TX
- Haypp data partnership
- Net per machine: \$227+/month

Phase 2 Subscription Tiers (Operator Buys Machine → Subscribes to FRE Product)

Tier	Monthly Price	Includes	Best For	Operator Net (est.)
Starter	\$149/mo	60 cans + 2 Mega + shipping	Bars, pool halls (5-8 vends/wk)	+\$40/mo
Standard	\$249/mo	120 cans + 4 Mega + shipping	Nightclubs (10-15 vends/wk)	+\$65/mo
Premium	\$499/mo	200 cans + 8 Mega + priority ship	Casinos, festivals (20+/wk)	+\$180/mo
Auto	Variable	Nayax triggers restock automatically	Any venue — demand-based	+\$55/mo

Regulatory Advantage

Synthetic nicotine = \$0 excise tax in 35+ states. FRE's structural edge.

Tier 1 Markets — Deploy Now

Market	State	Excise Tax	Regulatory	Key Venues	Priority Score
Nashville	TN	\$0	Clear — pool hall carve-out	Nightclubs, pool halls, talent agencies	92/100
Miami	FL	\$0	Proven — prior FRE pilot	Nightclubs (highest density in US)	91/100
Las Vegas	NV	\$0	Clear — casino floor compliant	Casinos (40M tourists/yr)	90/100
Austin / Dallas	TX	\$0	Clear — business-friendly	Nightclubs, music venues	88/100

Tier 2 Markets — Wave 2 Expansion

Market	State	Excise Tax	Notes
Atlanta	GA	\$0	Strong nightlife, music venues
Scottsdale / Phoenix	AZ	\$0	Nightclub density, tourism
Columbia / Charleston	SC	\$0	Pool hall exemption, tourism
Kansas City	MO	\$0	Power & Light District nightlife

DO NOT OPERATE

- California — Prop 31 flavored nicotine ban
- Massachusetts — comprehensive flavored ban
- Washington — flavored nicotine restrictions
- New Jersey — restrictions + high excise

REGULATORY MOAT

- 21 C.F.R. § 1140.16(c): vending OK in 21+ facilities
- Synthetic nicotine = \$0 tax in ~35 states
- VapeTM + Nayax age verification exceeds requirements
- State-by-state licensing complexity = barrier to entry

PR & Brand Value

The machine is media. Every placement is a brand moment.

"While ZYN fights for shelf space in c-stores, FRE went somewhere they couldn't follow — the nightclub at midnight."

Provocative Placements

CAA — Los Angeles (Machine #1)

A FRE machine in CAA. Not a gas station. Where billion-dollar deals happen.

Nightclub at Midnight

A glowing FRE machine in a dark venue. That image is worth more than any ad buy.

Casino Floor

Premium. Unapologetic. FRE next to the slots at 2am in Vegas = category definition.

Music Venue VIP

Backstage access for the brand. Artist proximity. Social content machine.

Tier 1: Innovation Press
AdAge, Fast Company, Forbes
"FRE reinvents nicotine distribution"

Tier 2: Trade Credibility
CSN, Tobacco Business Mag
"First nicotine pouch vending network"

Tier 3: Local Buzz
Nashville Scene, local media
"New tech hits Nashville nightlife"

Tier 4: Social
Instagram, TikTok, X
Machine photos from venues = organic UGC

PR Timeline

- Day 1: Internal + social teaser (machine photo)
- Day 30: Press push WITH real velocity data
- Day 90: "FRE vending generating X vends/week" = real story

Brand Media Value: Every machine is a physical brand presence in a high-traffic 21+ venue. That's earned impressions 24/7.
The machine doesn't just sell product — it sells the brand. The ROI on brand awareness alone may exceed the product margin.

Risks & Mitigations

We've thought through what can go wrong — and how to handle it

Risk	Probability	Impact	Mitigation
Velocity below breakeven	Medium	High	Ruthless venue selection. Pull at 90 days if <8/wk. Ad revenue as floor.
FDA vending guidance changes	Low	High	Age verification stack already exceeds requirements. Monitor regulatory.
State flavor bans expanding	Medium	Medium	Avoid CA/MA/WA. Monitor legislative sessions in target states.
Machine vandalism or theft	Medium	Low	Insurance (\$12/mo), venue placement guidelines, tamper housing.
Age verification failure	Low	High	VapeTM ID scanner + Nayax logging = full audit trail. Legal pre-brief.
Venue partner dissatisfaction	Low	Medium	90-day pilot = zero commitment. Pull machine if any issues.
Competitor enters vending	Low	Medium	First-mover advantage. Brand wraps + venue relationships = moat.
Restock logistics fail	Medium	Medium	TPBMarketplace for Phase 1. Bar distributor partnership for scale.

Biggest risk is venue selection, not technology.

Wrong venue = zero velocity. Right venue = \$300+/month net. Nayax data tells us in 30 days.

Key Strategic Tradeoff: FRE-Only vs. Multi-Brand

Option	Revenue Impact	Brand Impact	Decision
FRE-only (SELECTED)	Need 8+ cans/wk to break even	Maximum — machine = brand sanctuary	Brand story > short-term revenue subsidy
FRE + ZYN	+30-40% velocity	Diluted — sharing shelf with competitor	Rejected
Multi-brand (generic)	Highest velocity	Zero brand impact	Rejected

The Vision

From 4 machines in Nashville to a national advertising + data platform

	Year 1	Year 2	Year 3	Year 4	Year 5
Machines Deployed	4	10	25	50	100
Markets	1 (Nashville)	2 (+ Miami)	4 (+ Vegas, Austin)	6	10+
Annual Revenue	\$14K	\$48K	\$149K	\$342K	\$726K
Annual Net Profit	\$5K	\$16K	\$50K	\$114K	\$241K
Ad Revenue	—	—	\$27K	\$54K	\$108K
Cumulative ROI	-75%	+12%	+118%	+297%	+520%

Distribution Channel

Reach consumers where c-stores can't.
Direct-to-consumer pricing. No distributor margin erosion.

Advertising Platform

21+ captive audience on touchscreens. Premium CPM.
At 100 machines = \$108K/yr in nearly pure margin.

Proprietary Data Asset

Real-time, venue-specific purchase behavior that Haypp, Nielsen, and MSA can't replicate.

Every FRE vending machine is a billboard that pays you back.

4 machines. Nashville. This week. Let's prove it.